NIC Bank Group

Analyst Breakfast

24 August 2015

John Gachora | Group Managing Director

David Abwoga | Director, Finance and Strategy

Agenda

- **Who we are**
- Macro-Economic Overview
- Our Strategy
- Financial Performance
- Closing Remarks

NIC Bank Group is a "One Stop" Financial Services Shop…

1959 – National Industrial Credit Bank Limited incorporated in Kenya

1995 – National Industrial Credit Bank Limited obtains Commercial Banking License

1997 – National Industrial Credit Bank Limited merges with African Mercantile Bank Limited

2005 – Renamed NIC Bank Limited

2008 – NIC introduces investment banking (NIC Capital) and stock brokerage services (NIC Securities)

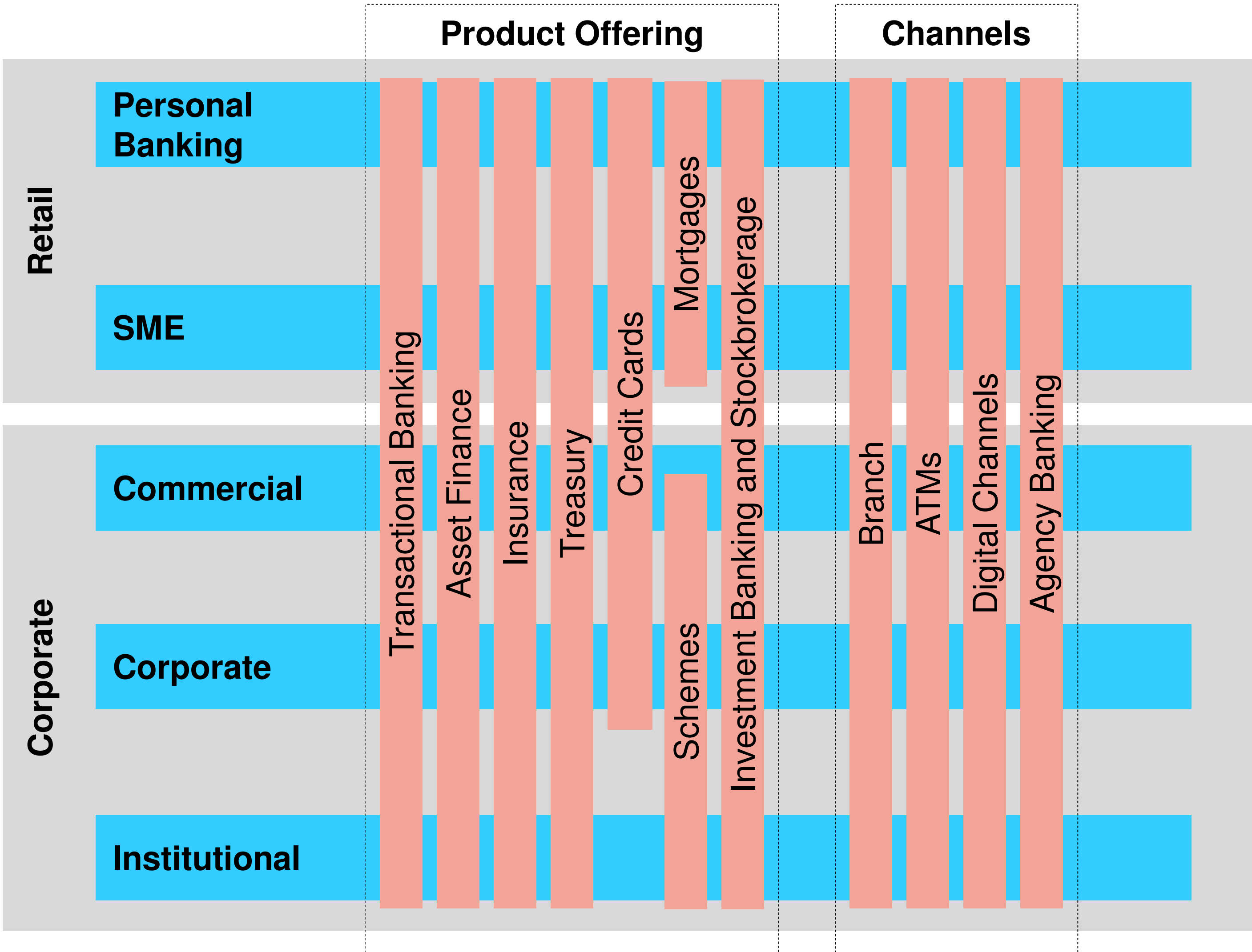
2009/ 2010 – Establishment of NIC Bank Tanzania

2012 – Establishment of NC Bank Uganda

2014 – Launch of NOW Banking

2015 – Establishment of NIC Leasing (LLP)

…and has a broad product and service offering to cater to our local and regional customers



Over the last few months we have focused on enhancing the bench strength of our Executive team

John Gachora
Group Managing Director

Experience: *21 years*
Previous Employers:
Barclays, Absa, Bank of America, Credit Suisse

Alan Dodd
Executive Director

Experience: *35 years*
Previous Employer:
Standard Chartered

Pankaj Kansara
MD
NIC Tanzania

Experience: *25 years*
Previous Employer:
Victoria Commercial Bank, CBA, Citi

Robert Kibaara
Director, Retail

Experience: *21 years*
Previous Employers:
NBK, *Standard Chartered, Barclays*

David Abwoga
Director, Finance and Strategy

Experience: *23 years*
Previous Employers:
Citi, Marshalls EA, Deloitte

Rosalind Gichuru
Director, MCC

Experience: *17 Years*
Previous Employers:
Coca Cola, Procter and Gamble

Julius Kamau
Director, Tech and Ops

Experience: *16 years*
Previous Employers:
Ecobank, Standard Chartered, Citi

Livingstone Murage
Company Secretary

Experience: *34 years*
Previous Employers:
Ambank, Mercantile Finance, Mobil Oil, PWC

John Okulo
MD
NC Uganda

Experience: *18 years*
Previous Employers:
Stanbic, Standard Chartered

Monicah Kihia
Director, HR

Experience: 20 years
Previous Employers:
Citi

Margaret Kimuma
Director, Credit Risk

Experience: *20 years*
Previous Employers:
Barclays

Sankul Mandavia
Director, Treasury

Experience: *25 years*
Previous Employers:
CBA, First American Bank

Jerry Simu
Director, Investment Banking

Experience: *17 years*
Previous Employers:
HSBC, Discount Securities

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Kenya and Regional Overview

Kenya

The economy is projected to grow at between 6 - 6.5% in 2015 and to maintain the same pace over the medium term.

This growth is based on:

- Lower oil prices
- Increased private consumption
- Ongoing infrastructure projects
- Higher public and private investment in security, ICT, agriculture, energy sector, healthcare, education, and tourism

East Africa Region

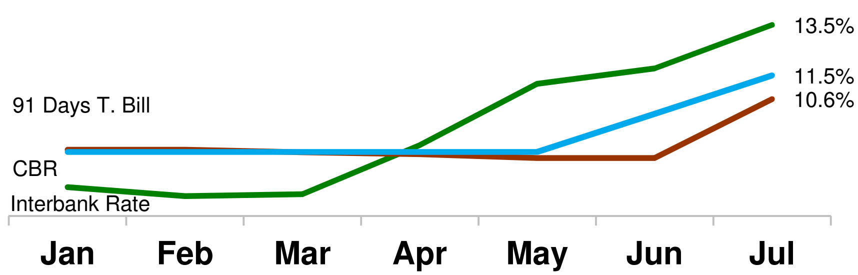
- Regional economies growth is projected to remain resilient

Country	2014	2015	2016
Kenya (%)	5.3	6.0	6.6
Tanzania (%)	7.2	7.2	7.1
Uganda (%)	4.9	5.5	5.7

Source: World Bank; IMF; CBK

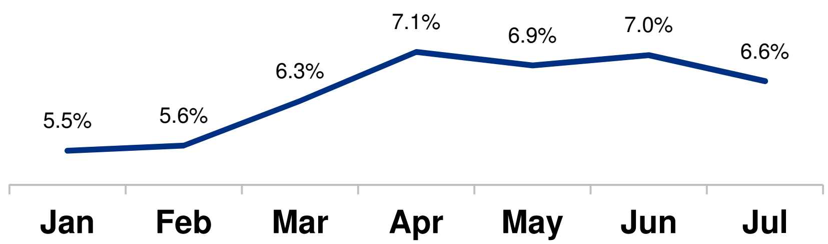
Interest, Inflation and Exchange Rates

Interest Rates



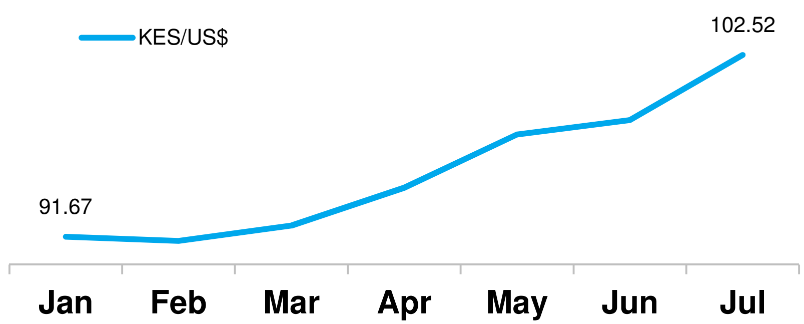
- Interest Rates have been on an increasing trend over the last 2 months on the back of a tighter monetary policy.
- The Central Bank raised KBRR by 133bps from 8.54% to 9.87%.

Inflation



- Inflation declined to 6.6% in July from 7.0% in June supported by lower food prices.
- The inflation rate has remained within the upper limit of CBK target rate of 7.5% in the last 7 months.

Exchange Rates



- The shilling declined by 11.5% against the dollar in the 7 months to July to 102.52/US$ due to:
  - The strengthening of the dollar on the back of US economy recovery
  - Falling export revenues from tourism, tea and horticulture
  - Widening of the current account deficit

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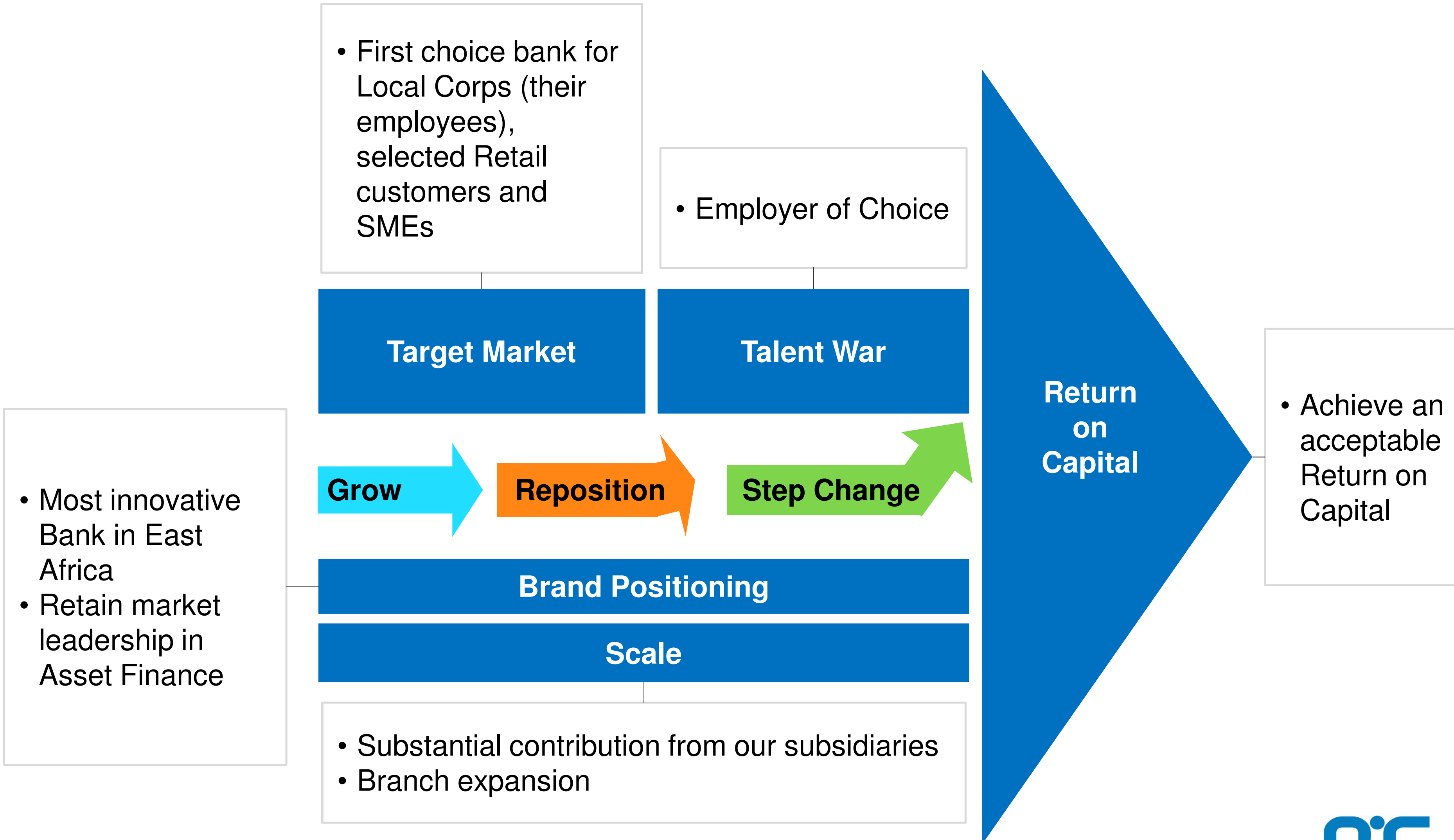
NIC BANK

We have a clear roadmap for the next 3 years



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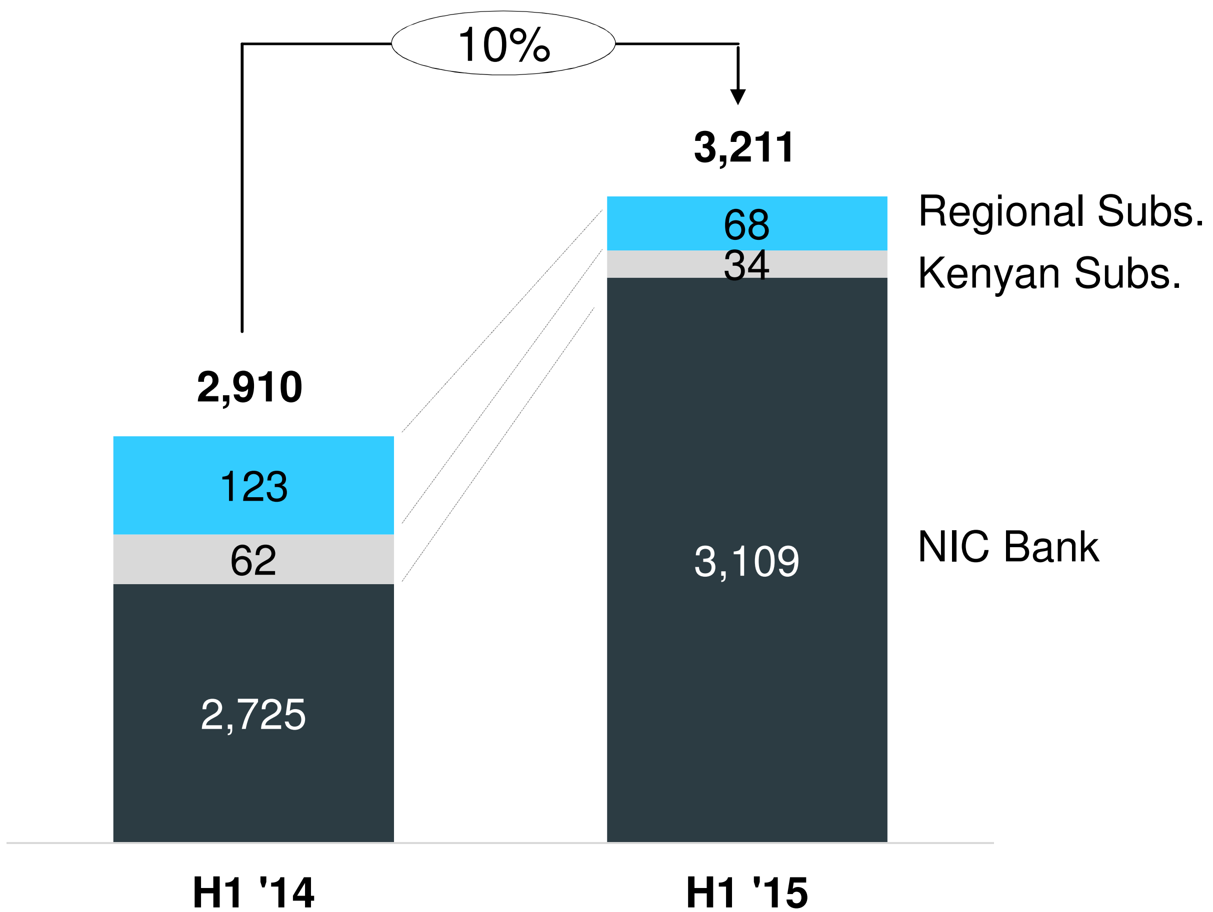
The Group posted solid results for H1 2015, growing 10% year on year

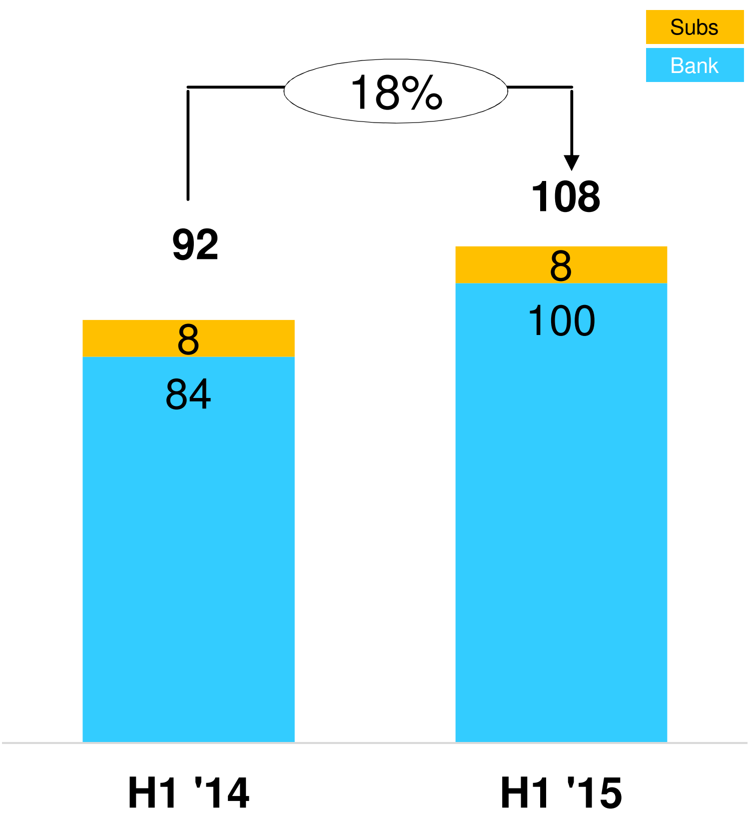
Group Segmental Performance, KES millions



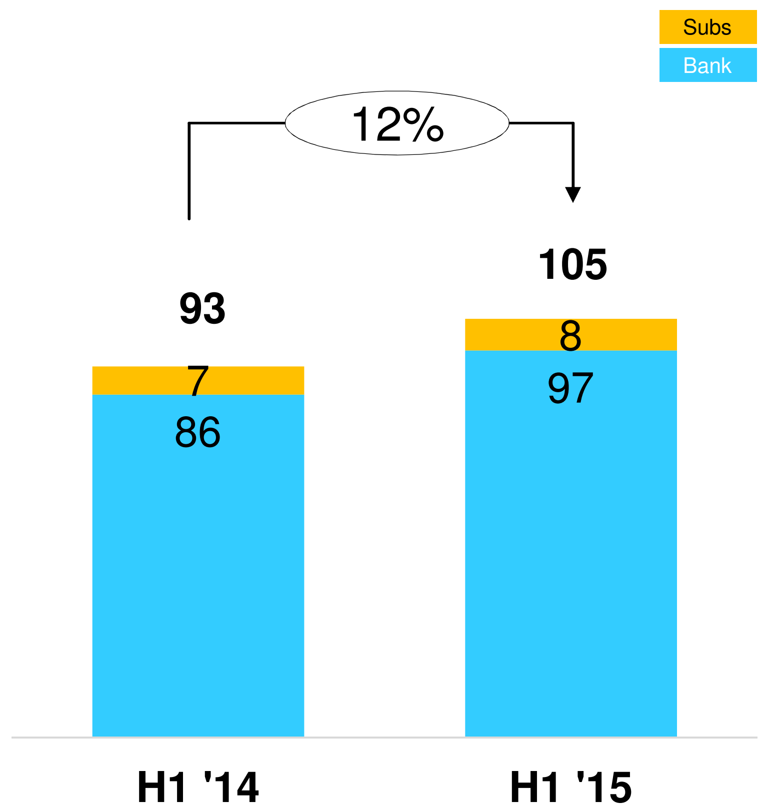
NIC Bank grew 14% year on year

At a Group level loans and advances were up 18%, while customer deposits were up 12%

Net Loans and Advances,
KES billions



Customer Deposits,
KES billions



The Bank delivered a 14% growth in PBT benefitting from growth in NII as well as transactional income

NIC Bank Profit and Loss, KES millions

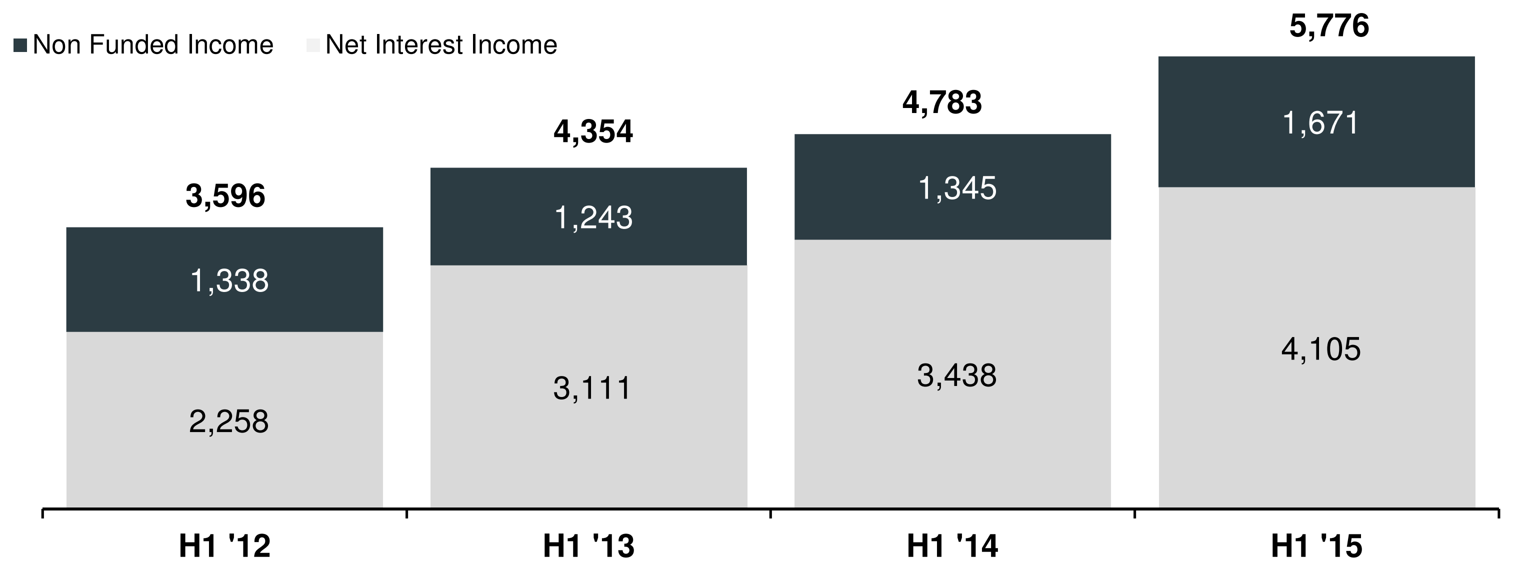
	June 2015 Actual	June 2014 Actual	June 2015 vs June 2014
Interest Income	7,019	5,992	17.1%
Interest Expense	2,913	2,555	(14.0%)
Net Interest Income	**4,106**	**3,437**	**19.5%**
FX Income	585	543	7.7%
Fees and Commissions	722	526	37.3%
Other Income	363	278	30.6%
Non Funded Income	**1,670**	**1,347**	**24.0%**
Total Net Revenue	**5,776**	**4,784**	**20.7%**
Total Expenses	2,167	1,806	(20.0%)
Provisions for Bad debts	500	252	(98.4%)
Profit Before Tax	**3,109**	**2,726**	**14.0%**

Commentary

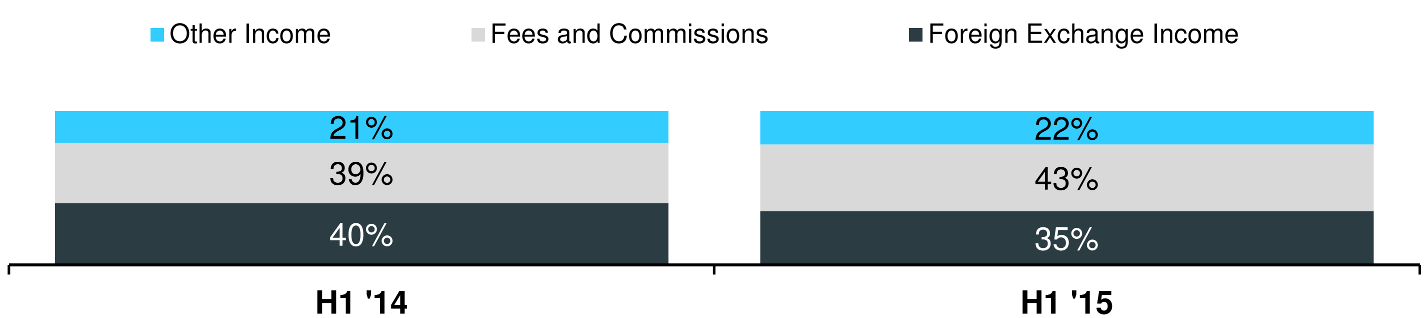
- The growth over 2014 is attributed to a higher NII of 19%, whilst competition remains strong, we continue to actively manage our liability mix resulting in relatively stable margins.
- The growth in Operating Expenses can be attributed to investments in talent, technology, premises and building brand awareness.

Operating Income has grown by 20.7% year on year, with NFI (24%) growing at a faster rate than NII (19%)

Funded Income and Non Funded Income (NFI), KES millions

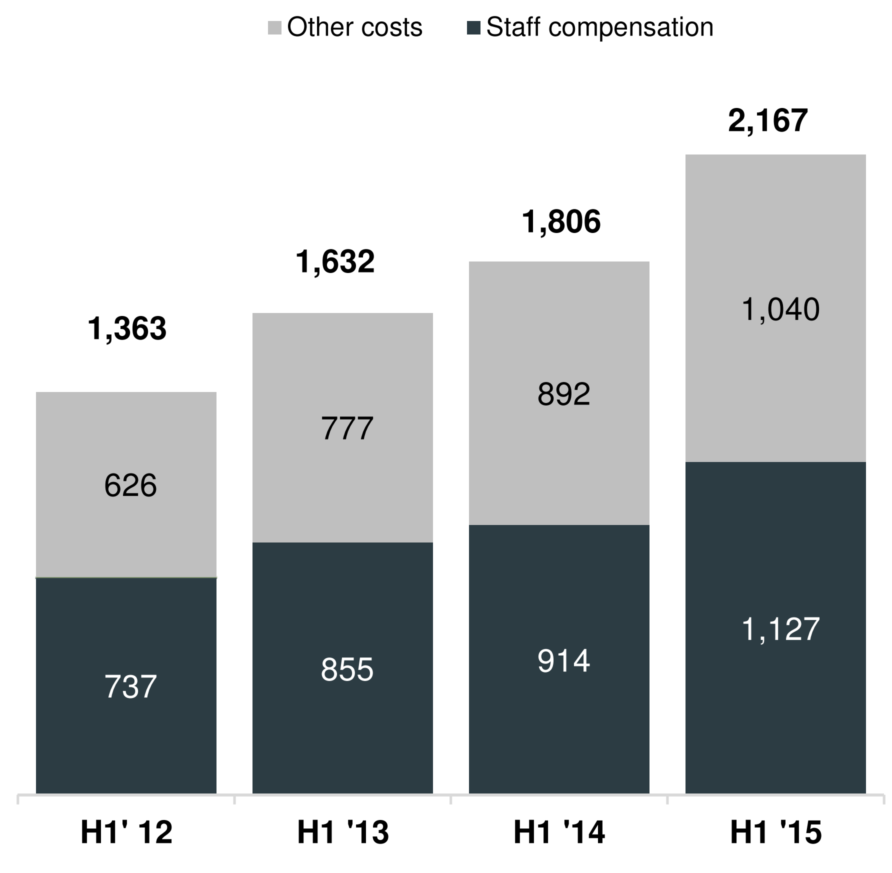


Non Funded Income Composition

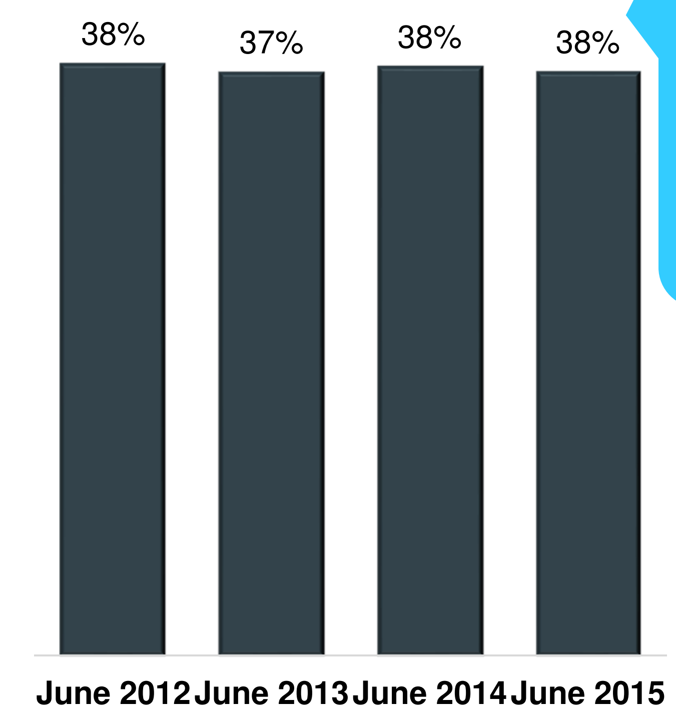


Operating Expense growth was driven by investments in talent, technology, premises and brand positioning

Operating Expenses, KES millions



Cost/ Income Ratio



Our investment in resources has primarily been in revenue generating Front Office Roles

Strategic use of Direct sales staff to manage headcount and costs: IT Expenses line impacted by new project costs, including channel and innovation projects; Increased media visibility and campaigns. We remain focused on controlling expenses while investing to support our growth.

Net Loans and Advances and Total Assets grew by 19% over the period under review

Asset Portfolio

Assets, KES millions	**H1 '15**	**H1 '14**	**Growth Y/Y**
Net Loans	99,865	83,958	18.9%
Cash & Balances with Bank	6,160	5,070	21.5%
Government Securities	19,928	20,293	-1.8%
Investment in Subsidiaries	4,308	3,915	10,0%
Other Assets	3,890	5,386	-27.8%
Total Assets	**143,197**	**120,499**	**18.8%**

We have built momentum on lending in the Retail and Corporate Business, whilst managing Risks and Margins over last year. Loans growth was attributed to good sales and marketing drives.

NIC BANK

The growth in our lending portfolio has been led by Corporate and Retail Lending

Gross Loan Book

Lending Products, KES millions	**H1 '15**	**H1 '14**	**Growth YoY**
Loans	40,210	29,854	35%
Hire Purchase	26,804	25,796	4%
Overdraft	22,274	18,510	20%
Other	12,879	12,416	4%
Mortgages	2,681	2,027	32%
	104,848	**88,603**	**18%**

Most product lines are exhibiting growth year on year

NIC BANK

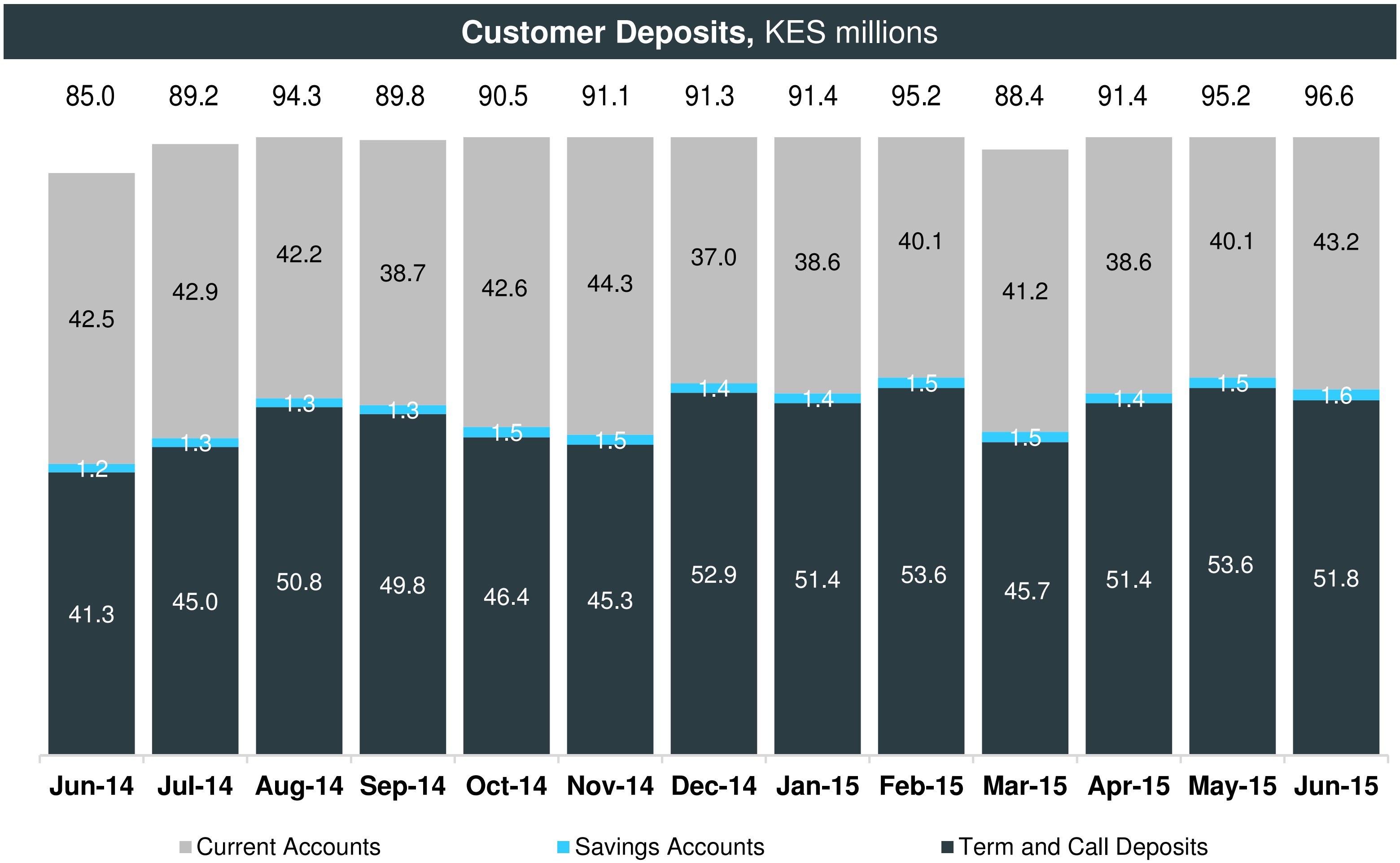
*** Includes a KES 1.1bn write-off**

Deposits have grown by 14%, while borrowed funds grew by 150%

Liabilities and Funding Sources

Liabilities, KES millions	**H1 '15**	**H1 '14**	**Growth Y/Y**
Deposits	97,212	85,658	13.5%
Borrowed Funds	14,294	5,706	150.5%
Other Liabilities	7,542	10,125	(25.5%)
Shareholders' Funds	24,149	19,010	27.0%
Total Liabilities & Capital	**143,197**	**120,499**	**18.8%**

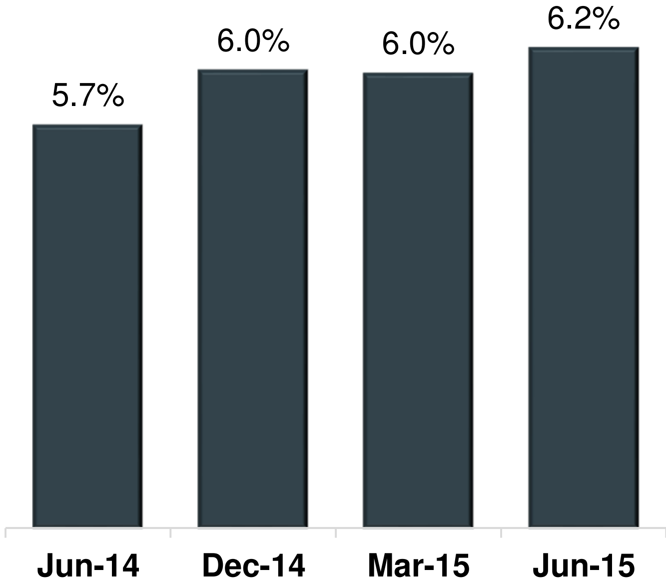
While Customer Deposits have grown by KES 11bn, our market share has remained fairly stable



Stable yields on lending coupled with efforts to reduce our Cost of Funds has protected NIM

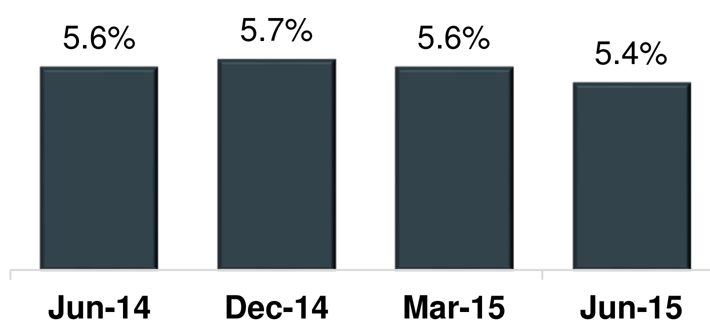
Net Interest Margin

Net Interest Margin



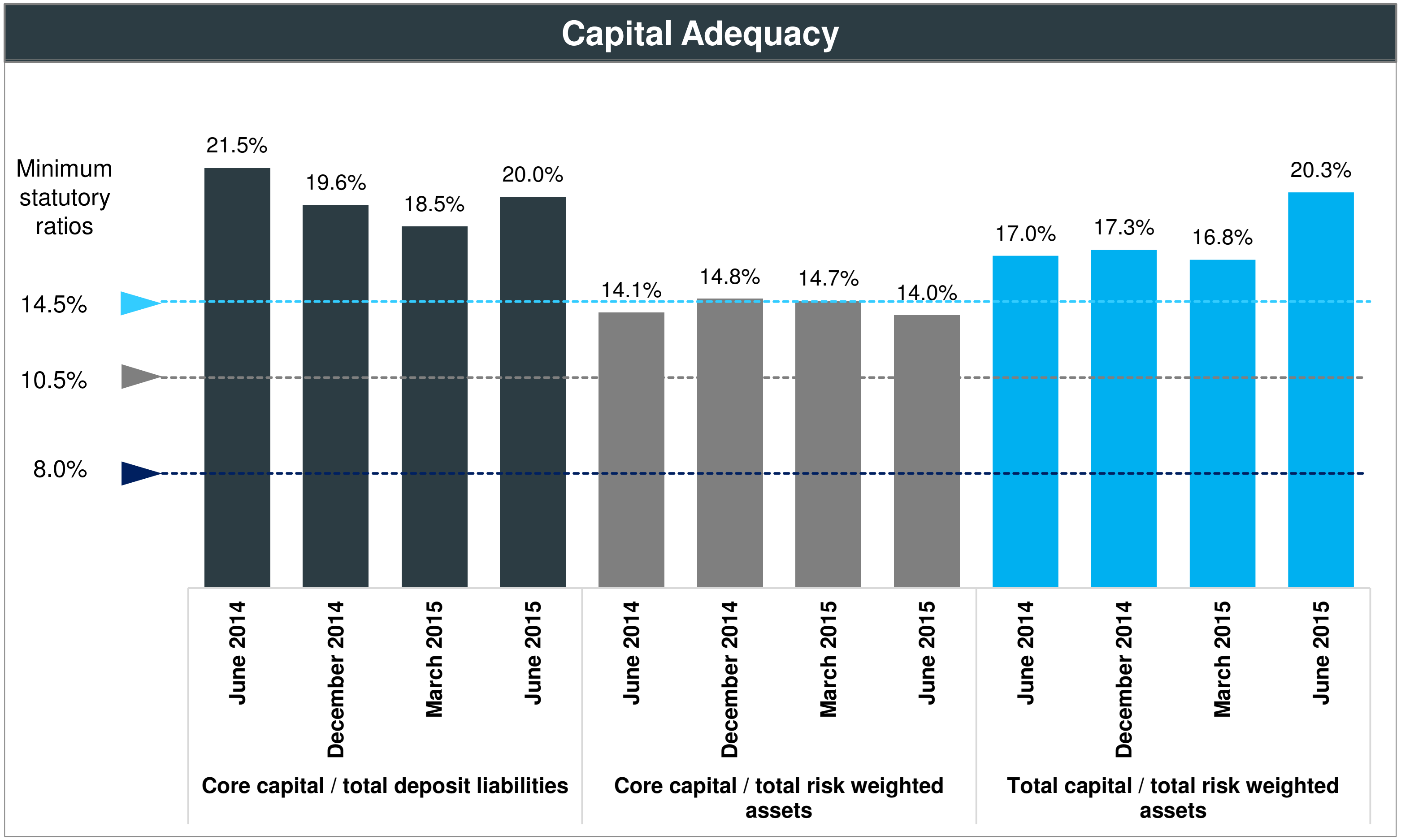
Yield on Lending

Cost of Funds



Whilst competition in lending remains strong we continue to actively manage our liability mix and this has led to a relatively stable margin

We are well capitalized with sufficient buffers above all statutory ratios



We now have an ICAAP policy that will ensure that will effectively monitor our capital adequacy as we strive to our achieve our strategic ambitions.

nic BANK

We have seen improved momentum across most of the key ratios year on year

	H1 '14	H1 '15
Growth in PBT	8%	14%
Loan/ Deposit Ratio	103.4%	107.9%
Net Interest Margin	5.7%	6.2%
Return on Assets	4.6%	4.4%
Cost/Income Ratio	37.8%	37.5%
Return on Lending	11.3%	11.6%
Fee/Income Ratio	28.1%	28.9%
Growth in Customer Deposits	16.3%	13.5%
Return on Capital Employed	28.9%	25.9%
Growth in Net Loans	31.2%	18.9%
Interim Dividends	*Nil*	KES 0.25

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We have developed a strong reputation in the market; our accolades speak for themselves

Capital Markets Awards
Bond Deal of the Year (2014)
Winner

MSK Awards
Best Integrated Campaign (2014)
Winner

Capital Markets Awards
Lead Transaction Advisor (2014)
1st Runners Up

Banking Awards
Best Bank in Asset Finance (2014/5)
1st Runners Up

Capital Markets Awards
Investment Bank of the Year (2015)
1st Runners Up

FiRe Awards
Corporate Governance (2014)
1st Runner Up

The Banker East Africa Awards
Best Online Platform (2015)
Winner

Capital Markets Awards
Best Stock Broker (2014)
2nd Runners Up

In closing…

Good momentum in H1

Exchange Rate and Interest Rate challenges

Expansion in Retail and SME

Clear focus on costs

Continued investments in people and technology